that something is going on, that it pays to put in some effort to try to figure out what's happening and likely to happen.

If you're manufacturing chocolate chip cookies, you don't look at every cookie. Instead, you install a machine that puts the chips in the cookies—say, seven to each—and down the line you set up an inspection station where you sample the cookies once in a while. If the cookies are coming through with seven bits, the green light stays on, but if all of a sudden a cookie comes through with five bits or nine, a red light goes on. You stop the machine and readjust the chocolate chip dispenser.

That is sort of what we do. We look at the stocks on our list, or already in our portfolio, only when the red light goes on, when other analysts' forecasts or actual earnings come through markedly different from our own forecasts. It tells us we have a funny cookie. It doesn't tell us whether there are too many chips or too few, but it tells us to pay attention, because something's going on. In the cookie bakery you call this method statistical quality control, a routine system in factories. We call it an outlier finding system, and our analysts focus on these anomalies.

We have expectations for each stock for the next couple of years, based on our analysts' earnings estimate and a likely future P/E for the stock. If the rest of the world thinks the company is going to make $1 a share—consensus estimates are readily available—and our analyst thinks it is going to make $1.30 a share, we've identified an outlier, and it's time to go back and figure out what's what. Most of the time, the rest of the world is probably right; $1 a share is a better estimate. Our analyst just hadn't gotten the word yet or hadn't fed the latest numbers into our model. Well, you change your own estimate and that fixes the problem.

But once in a while the analyst will say, "No, dammit, this company is going to do very well—better than people think. A buck thirty is closer to the mark." Then you have something that ought to be bought, if you don't already own it. And if the opposite happens with a stock you do own, it ought to be sold.